



TEST CODE **22233020**

MAY/JUNE 2008

FORM TP 2008237

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2 – PAPER 02

2½ hours

30 JUNE 2008 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

8237

SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Imperial Bank plans to establish a new branch on Main Street in the fast-growing town of Rose Hall. The table below shows the major activities that must be performed, the order of the activities and the estimated time of each activity required to implement the project (establishing the new branch of the bank).

Major Activity	Order of Activities	Estimated time (weeks)
A	Must be done first	8
B	Must be done first	4
C	Can start only when B is completed	9
D	Can start only when A is completed	6
E	Can start only when A is completed	11
F	Can start only when D is completed	3
G	Can start only when E and F are completed	1

- (a) Using the information given in the table above, draw a network diagram of the project. [8 marks]
- (b) State
- (i) the length (weeks) of EACH path
 - (ii) the expected length of the project
 - (iii) the amount of slack time for EACH path. [7 marks]
- (c) Outline THREE advantages and TWO limitations of using PERT and CPM techniques for planning and co-ordinating large-scale projects. [10 marks]

Total 25 marks

2. PROSUCO is a company producing sugar for the local and international market. The owners of PROSUCO believe that it can still compete with the best sugar producers in the world, even when it loses preferential treatment in the European market. They plan to introduce Total Quality Management (TQM) in the company's operations within a month.

- (a) Define the concept 'customer' as it relates to TQM and outline ONE way in which this concept can be useful at PROSUCO. [4 marks]
- (b) Discuss FOUR common TQM techniques that PROSUCO can use to enhance its competitiveness in the international sugar market. [12 marks]
- (c) Discuss THREE ways in which poor quality can affect PROSUCO. [9 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. On Emerald Isle, on account of the high duty on new motor vehicles and used motor vehicles less than five years old, most people who can afford it, buy used or refurbished vehicles aged five years or more. Trans Atlantic Motor Spares (TAMS) is one of a few sellers of “hard to find” spare parts for used motor vehicles. TAMS has a large share of this market segment.

- (a) (i) Explain how the following concepts may be used to evaluate the marketing function:
- a) The product concept
 - b) The sales concept
 - c) The marketing concept [6 marks]
- (ii) State TWO reasons why the marketing concept is the BEST approach for TAMS. [4 marks]
- (b) Discuss THREE factors in market conditions that the marketing manager of TAMS needs to consider when seeking to secure a competitive advantage in the market place. [9 marks]
- (c) Discuss TWO capabilities in the firm that the marketing manager of TAMS needs to consider when seeking to secure a competitive advantage in the market place. [6 marks]

Total 25 marks

4. A Caribbean company that sells furniture is seeking the opinion of ONE of its target audiences – Caribbean-Americans. On August 6, 7 and 8, the firm will hold focus group sessions for Caribbean-Americans ages 25 - 55, who are the main decision-makers for their households and are interested in purchasing furniture for family members living in the Caribbean. Participants cannot be affiliated with any furniture retailer or manufacturer, marketing or market research company, public relations or advertising agency.

- (a) State THREE **main** features of the focus group methodology. [6 marks]
- (b) Define the term ‘market segmentation’ and outline THREE uses of market segmentation. [8 marks]
- (c) (i) Identify and justify THREE characteristics of the targeted Caribbean-American group. [9 marks]
- (ii) Suggest ONE reason why members of the focus group CANNOT be affiliated with the other type of companies mentioned in the case. [2 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. Suzie Que, a graduate from the University of the Caribbean with a degree in business administration, has lost her job of 5 years with a multi-national corporation. Suzie was laid off due to cost-cutting measures. She wants to establish her own business by providing janitorial services to the business district of Fast Town.

- (a) Explain what is meant by the term 'entrepreneurship'. [2 marks]
- (b) Outline FOUR characteristics that Suzie should possess in order to be a successful entrepreneur. [8 marks]
- (c) Discuss THREE opportunities and TWO challenges that Suzie may face if she decides to set up her business. [15 marks]

Total 25 marks

6. Healthy Choice Bakery Ltd., a small bakery operating in a large residential community has recently added a new product to its bread line. It is a 100% whole wheat bread, and the company is one of two bakeries in the country that produces that kind of bread. There has been a growing trend among consumers towards a healthy lifestyle. This high fibre bread is also ideal for persons with diabetes, hypertension and other 'lifestyle' diseases. The product has been already introduced to the market through a limited number of outlets, but there is an urgent need to widen its distribution channel. An award at a well known Food Fair and a number of "write-ups" in the local paper have resulted in an increase in the demand for the product. The company has received numerous requests from many individuals for the product to be made more widely available.

Healthy Choice Bakery has a significant amount of excess capacity, but the owner is unsure of the ability of the business to distribute its product, as it has only one delivery van.

Mr Sell-Off, a marketing consultant has suggested that the most suitable channel of distribution for Healthy Choice Bakery is the retail channel or a one-level channel.

- (a) Identify THREE types of retail businesses or outlets that could effectively distribute the Healthy Choice Bakery Ltd. new product. [3 marks]
- (b) Identify and justify TWO main factors that may have influenced the Marketing Consultant's suggested choice of distribution channel. [8 marks]
- (c) Miss Eat-Rite, owner and manager of Healthy Choice Bakery Ltd. has approached the bank for a loan to assist in its promotion and distribution activities. The bank has suggested that she should produce her business plan for its inspection.
 - (i) Explain what is meant by a 'business plan'. [2 marks]
 - (ii) Outline FOUR main components of a business plan. [8 marks]
 - (iii) State TWO benefits, to Miss Eat-Rite, of having a business plan. [4 marks]

Total 25 marks

END OF TEST